



Business Ethics and Corporate Social Responsibility

CHAPTER ONE

INTRODUCTION TO BUSINESS ETHICS

ETHICS DEFINED

What Does Ethics Mean?

- **Ethics** has been defined as “inquiry into the nature and grounds of morality where the term morality is taken to mean moral judgments, standards and rules of conduct.”
- Ethics has also been called the study and philosophy of human conduct, with an emphasis on determining right and wrong.
- “The study of the general nature of morals and of specific moral choices; moral philosophy; and the rules or standards governing the conduct of the members of a profession.”

Ethics: What Does It Mean?

- Ethics is the branch of philosophy that focuses on **morality** and the way in which moral principles are applied to everyday life.
- Ethics has to do with fundamental questions such as “What is fair?” “What is just?” “What is the right thing to do in this situation?”
- Ethics involves an active process of applying values, which may range from religious principles to customs and traditions.

Business Ethics

- ❖ Most people would agree that high ethical standards require both businesses and individuals to conform to sound moral principles.
- First, to survive, businesses must earn a profit.
- ✓ If profits are realized through misconduct, however, the life of the organization may be shortened.
- Second, businesses must balance their desires for profits against the needs and desires of society.
- ✓ Maintaining this balance often requires compromises or trade-offs.

Cont...

- ❖ **Business ethics** comprises the principles, values, and standards that guide behavior in the world of business.
- **Principles** are specific and pervasive boundaries for behavior that are universal and absolute.
- **Values** are used to develop norms that are socially enforced. Integrity, accountability, and trust are examples of values.

Business Ethics

Definition

- **Business**

- Economic system in which goods and services are exchanged for one another or money, on the basis of their perceived worth



- **Ethics**

- Derived from the Greece word “ethos”, meaning character and manners.
- Ethics is the study and philosophy of human conduct, with an emphasis on determining right from wrong
- In Other words Ethics are moral guidelines which govern good behaviour



Business Ethics: What Does It Mean?

- Business ethics focuses on what constitutes right or wrong behavior in the world of business. Corporate business executives have a responsibility to their shareholders and employees to make decisions that will help their businesses make a profit.

Business Ethics: cont'd

- ❖ Businesspeople also have a responsibility to the public and themselves to maintain ethical principles.
- Attempts to earn profit through misconduct might shorten the life the organization.
- Businesses must balance between their needs for profits and the needs and demands of the society.
 - society has established rules- legal and implicit

General Definition of Business Ethics

- ❖ Business ethics is a range of criteria where by human actions are judged to include such things as:
 - Social expectation;
 - Fair competition;
 - The aesthetics of advertising and the use of public relations;
 - The meaning of social responsibilities;
 - Reconciling corporate behavior at home with behavior abroad;
 - The extent of consumer sovereignty;
 - The relevance of corporate size, the handling of communication; and the like.

Objectives of Business Ethics

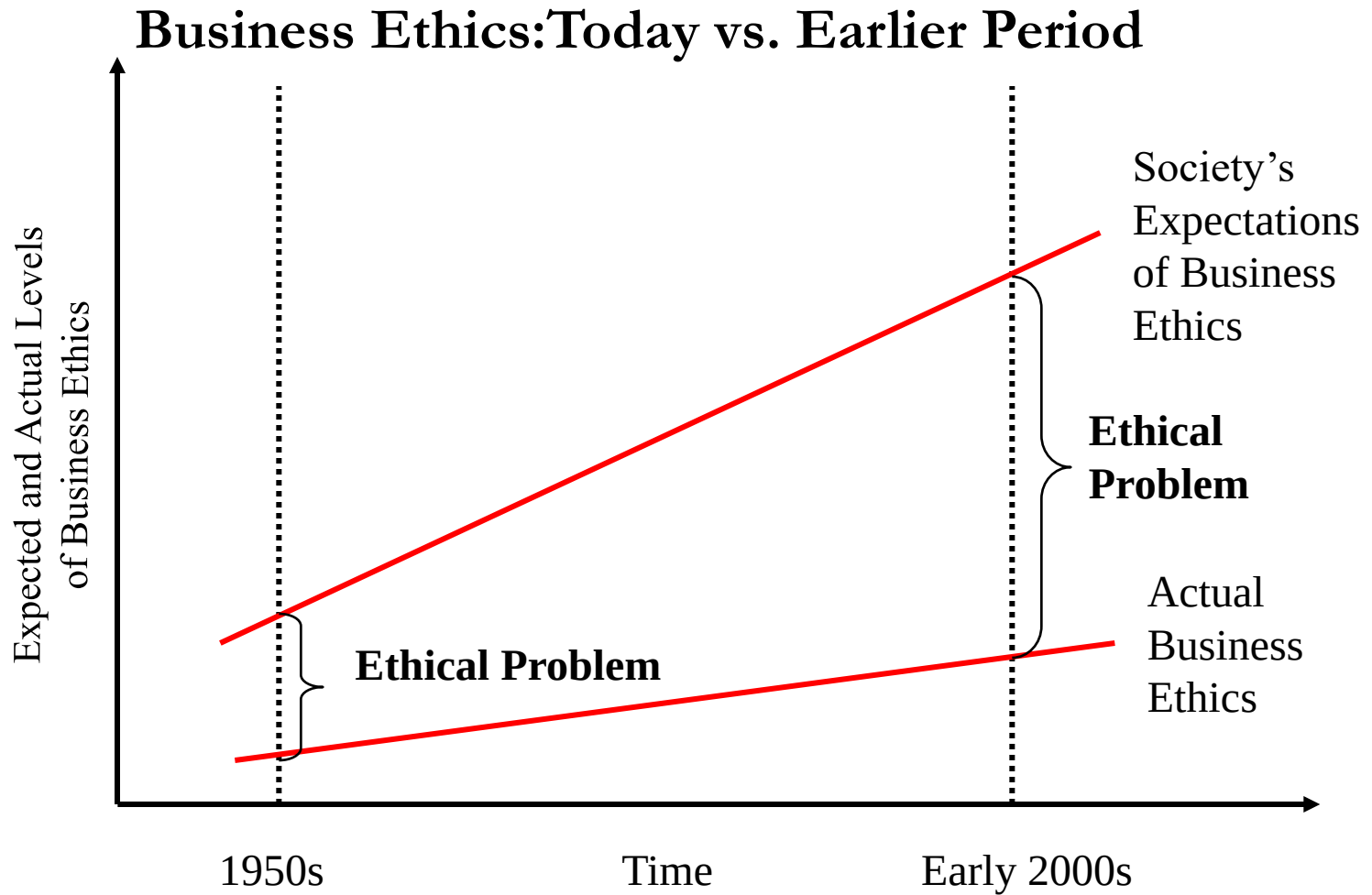


WHY STUDY BUSINESS ETHICS?

A Crisis in Business Ethics- Specific Issues:

- Abusive behavior,
- Harassment,
- Accounting fraud,
- Conflicts of interest,
- Defective products,
- Bribery, and employee theft are all problems cited as evidence of declining ethical standards.

Cont...



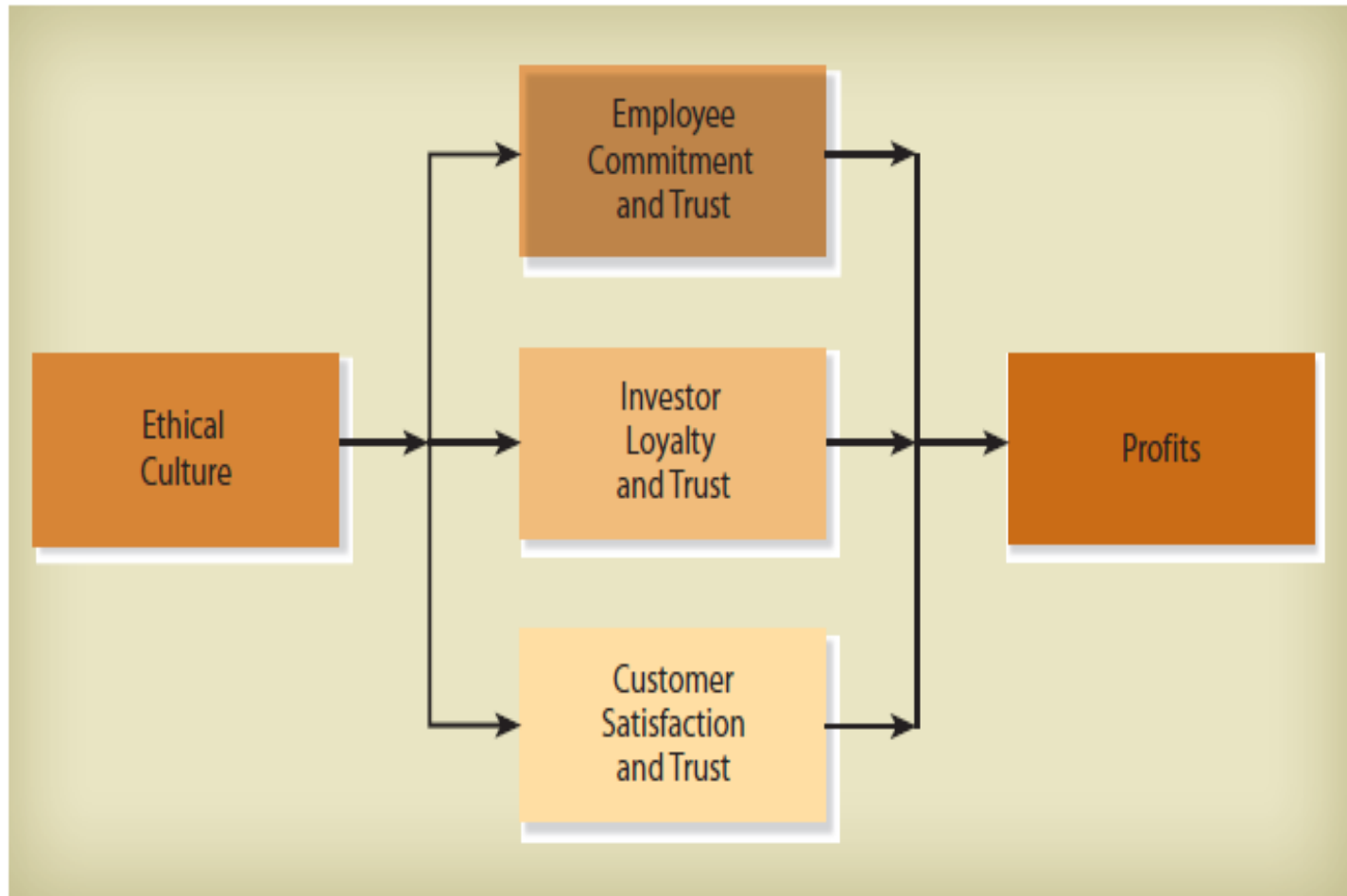
THE DEVELOPMENT OF BUSINESS ETHICS

TABLE 1-2 A Timeline of Ethical and Socially Responsible Concerns

1960s	1970s	1980s	1990s	2000s
Environmental Issues	Employee militancy	Bribes and illegal contracting practices	Sweatshops and unsafe working conditions in third-world countries	Cybercrime
Civil rights Issues	Human rights Issues	Influence peddling	Rising corporate liability for personal damages (for example, cigarette companies)	Financial misconduct
Increased employee–employer tension	Covering up rather than correcting issues	Deceptive advertising	Financial mismanagement and fraud	Global Issues, Chinese product safety
Changing work ethic	Disadvantaged consumer	Financial fraud (for example, savings and loan scandal)	Organizational ethical misconduct	Sustainability
Rising drug use		Transparency Issues		Intellectual property theft

THE BENEFITS OF BUSINESS ETHICS

FIGURE 1-3 The Role of Organizational Ethics in Performance



Benefits and Drawbacks of Behaving ethically in Business

Benefits

- Higher revenues – demand from positive consumer support
- Improved brand and business awareness and recognition
- Better employee motivation and recruitment
- New sources of finance – e.g. ethical investors

Possible Drawbacks

- Higher costs – e.g. sourcing from Fairtrade suppliers rather than lowest price
- Higher overheads – e.g. training & communication of ethical policy
- A danger of building up false expectations

Definition of CSR

- **Corporate Social Responsibility (CSR)** is a business organization's contribution to sustainable development and helps the organizations on their way to long term success while being good for society and society in return benefited from combined activities related to **legal, ethical, economic and philanthropic**.
- Being socially responsible means **maximizing the positive effects** and **minimizing the negative effects on society** (customers, owners, employees, community, suppliers, government) for the success of business organizations.

Cont...

- ❖ “Social responsibility is the obligation of decision makers to take actions which protect and improve the welfare of society along with their own interests”
- In general, CSR has typically been understood as policies and practices that business people employ to be sure that society, or stakeholders, other than business owners, are considered and protected in their strategies and operations.
- According to Carrol, “Corporate social responsibility encompasses the economic, legal, ethical, and discretionary (philanthropic) expectations that society has of organizations at a given point in time” (Carroll 1979, 1991).

Definition of CSR Cont...

What is CSR?

Corporate Social Responsibility is the continuing commitment by business to behave ethically and contribute to economic development while improving the quality of life of the workforce and their families as well as of the local community and society at large.”

The World Business Council
for Sustainable Development



Carroll's Pyramid of CRS

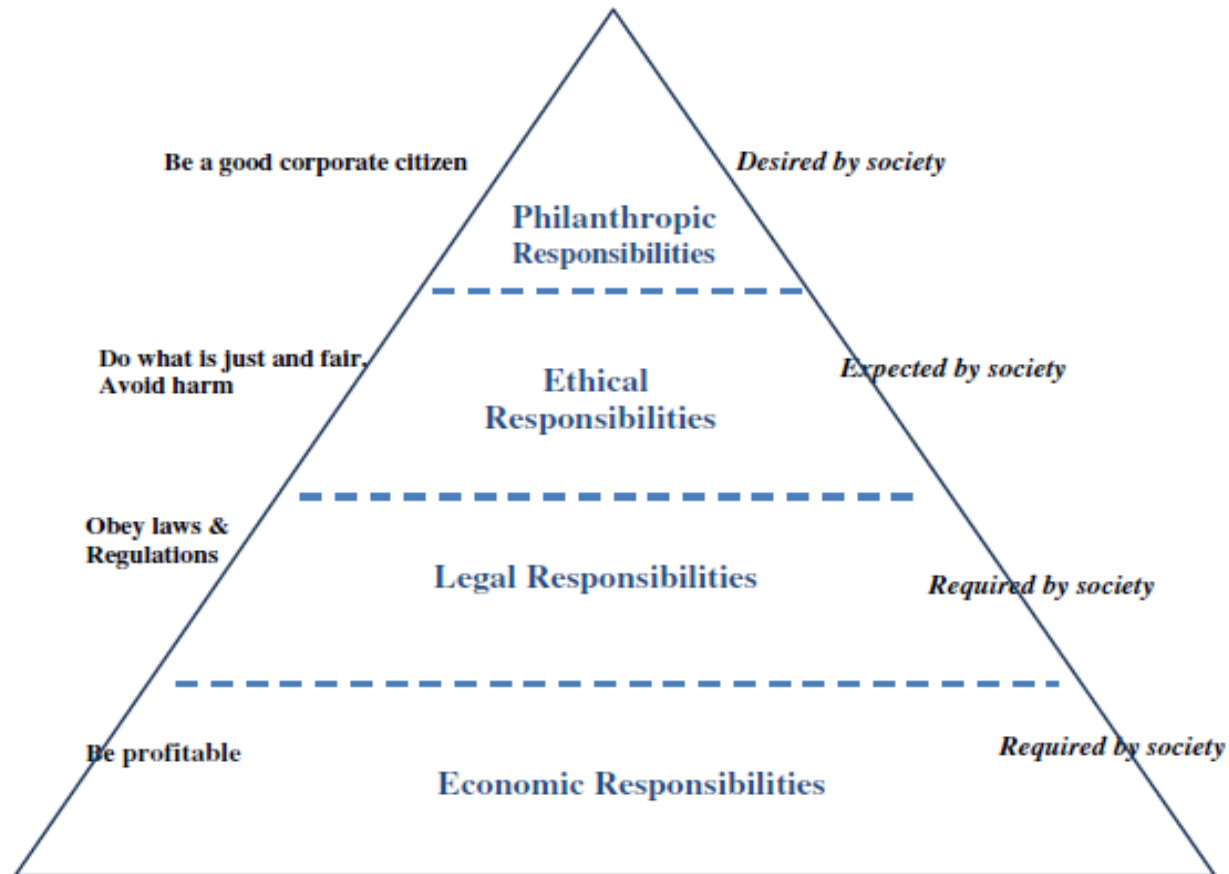


Fig. 1 Carroll's pyramid of CSR

Definitions of CSR Cont...

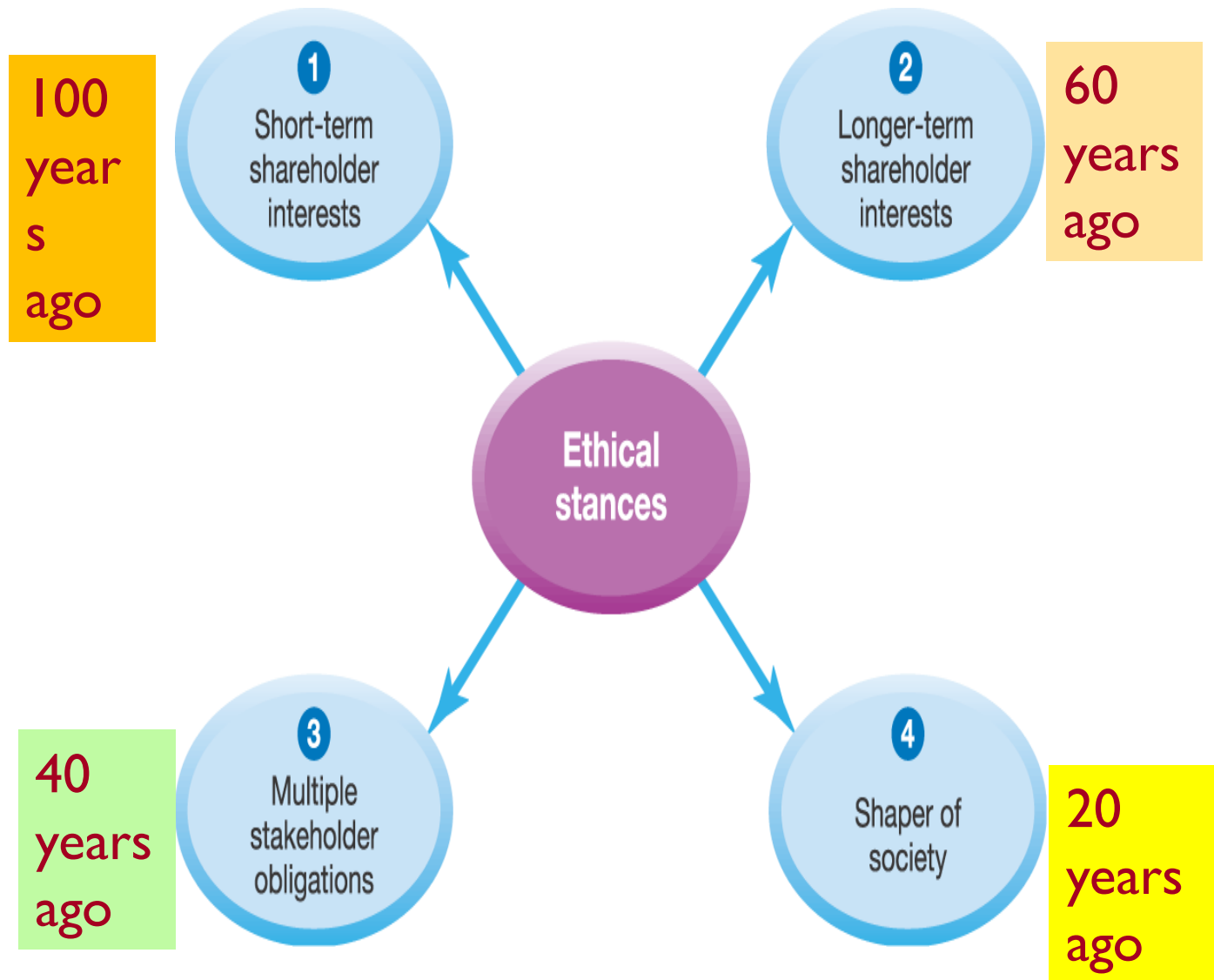
Carroll's Four Part Definition



Carroll's Four Part Definition ***Understanding the Four Components***

Responsibility	Societal Expectation	Examples
Economic	Required	Be profitable. Maximize sales, minimize costs, etc.
Legal	Required	Obey laws and regulations.
Ethical	Expected	Do what is right, fair and just.
Discretionary (Philanthropic)	Desired/ Expected	Be a good corporate citizen.

Four Possible Ethical Stances



Business ethics – the societal expectations of organisations

- **Macro level**
 - Range from laissez faire to shapers of society
 - Ethical stance of organisation in society
 - Extent an organisation exceeds its minimum obligations to stakeholders and society
- **Corporate social responsibility**
 - Specific ways to exceed minimum obligations imposed by legislation/corporate governance
 - Reconcile conflicting demands of stakeholders
- **Individual level**
 - Behaviour and actions of individuals within organisations



Stakeholder Management and Social Responsibility

Stakeholders Management

Stakeholders

- ❖ Individuals and groups with a multitude of interests, expectations, and demands as to what business should provide to society.
- ✓ An individual/an organization who possesses a stake in a business.
- ✓ Stakeholders provide **tangible** and **intangible** resources critical to a firm's success.
- ✓ Stakeholders are those who have a **stake** or claim in some aspect of a company's products, **operations, markets, industry** and outcomes:

Stakeholder management cont'd

What is a **stake**?

An interest or a share in an undertaking and can be categorized as:

Interest

Right

Ownership

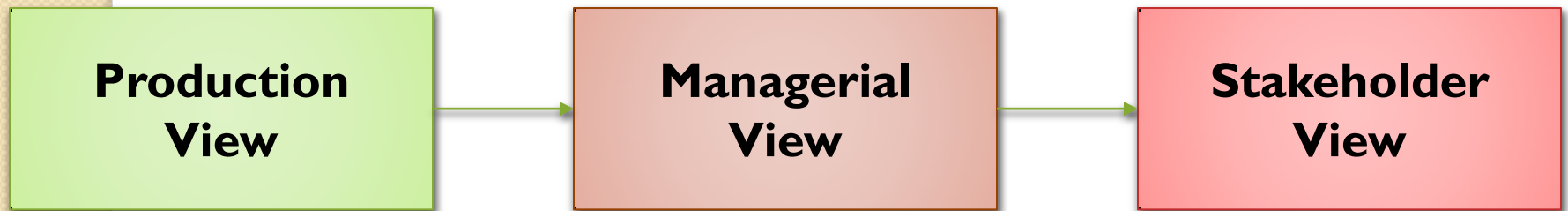


Legal

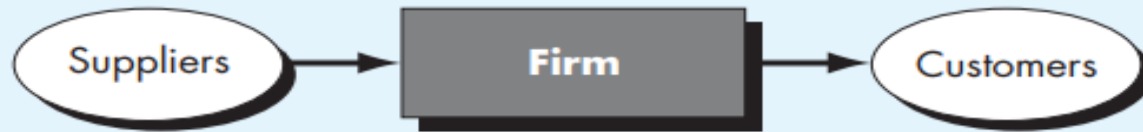


Moral

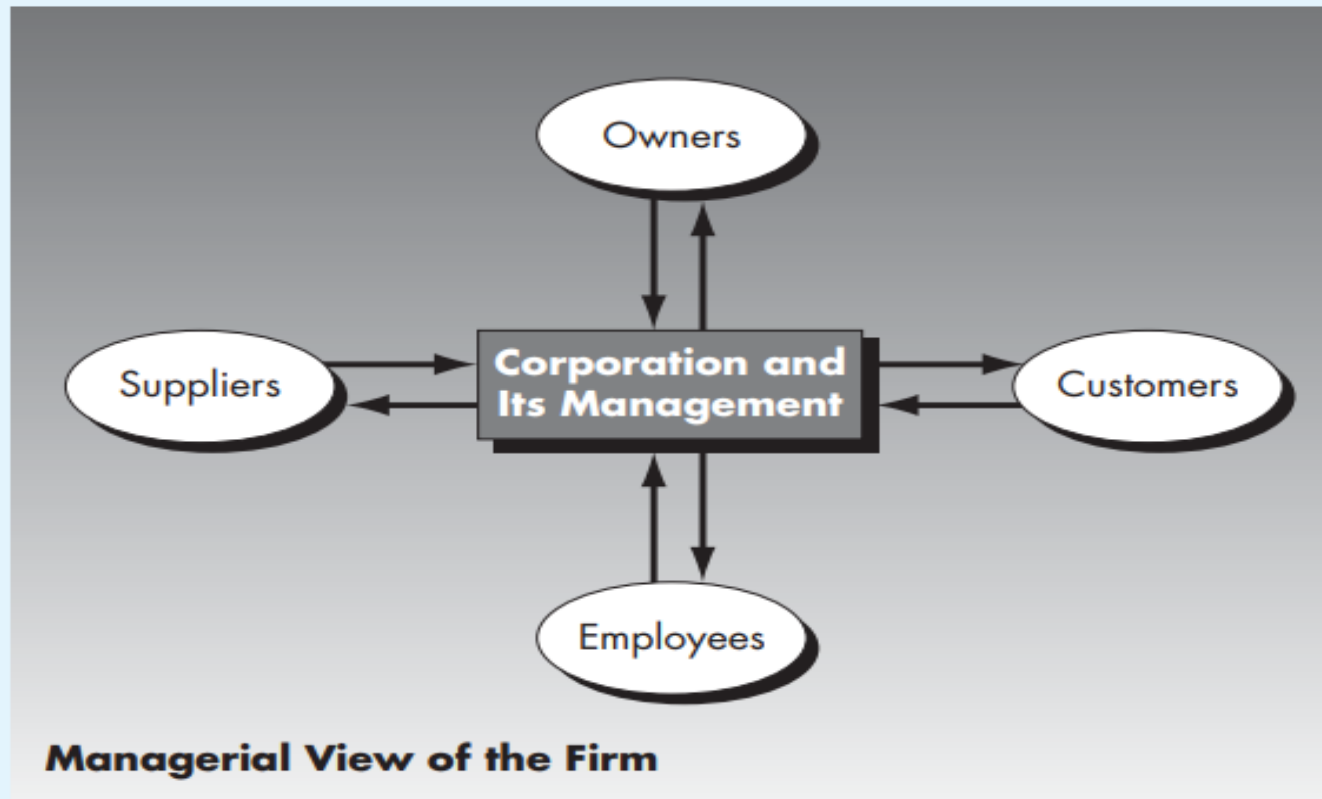
Three Views of the Firm



Production and Managerial Views of the Firm

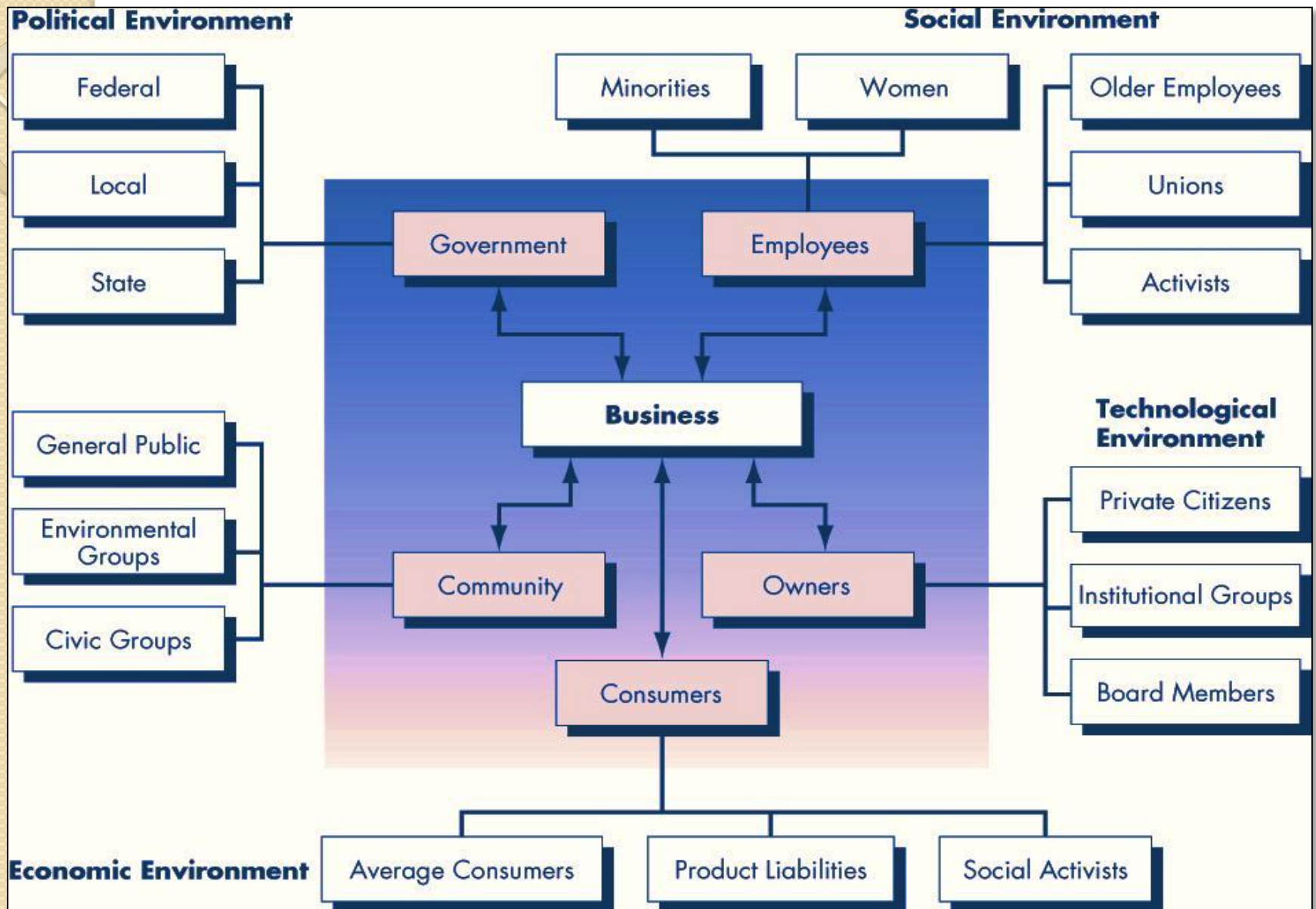


Production View of the Firm

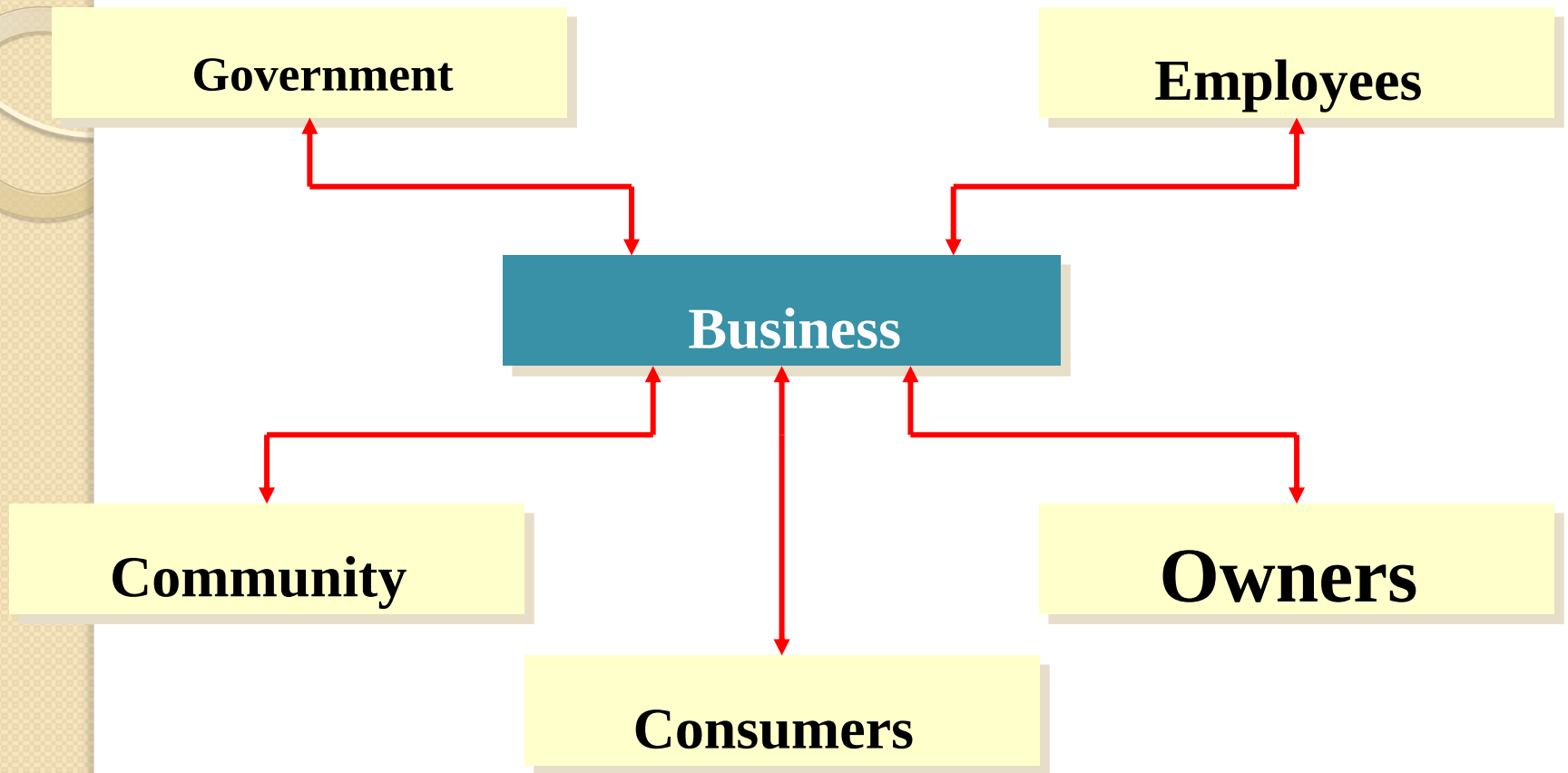


Managerial View of the Firm

Stakeholder View of the Firm



Who Are Business Stakeholders?



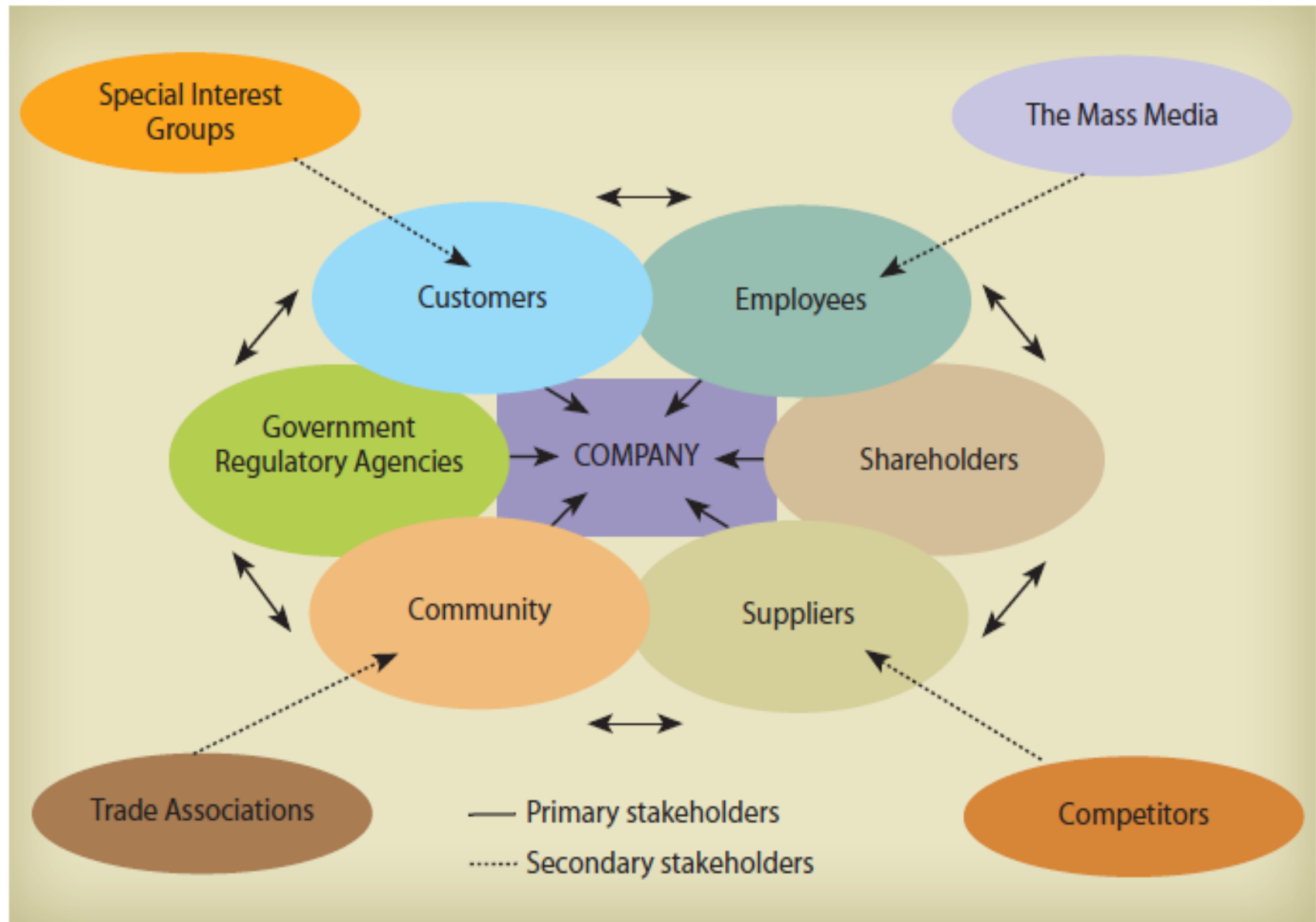
- **Different forms of linkages** exist between the business & stakeholders

Who Are Business Stakeholders?

Primary and Secondary Stakeholders

- **Primary stakeholders** are those stakeholders that have a direct stake in the organization and its success.
 - Their continued association is absolutely **necessary** for a firm's **survival**.
 - Employees, customers, investors & suppliers
- **Secondary stakeholders** are those that have a public or special interest stake in the organization
 - do not typically engage in transactions with a company
 - communities, government, media & association

FIGURE 2-2 Interactions between a Company and Its Primary and Secondary Stakeholders



A Typology of Stakeholder Attributes

- **Legitimacy** refers to the perceived validity of the stakeholder's claim to a stake
- **Power** refers to the ability or capacity of a stakeholder to produce an effect
- **Urgency** refers to the degree to which the stakeholder's claim demands immediate attention

Key Questions In Stakeholder Management

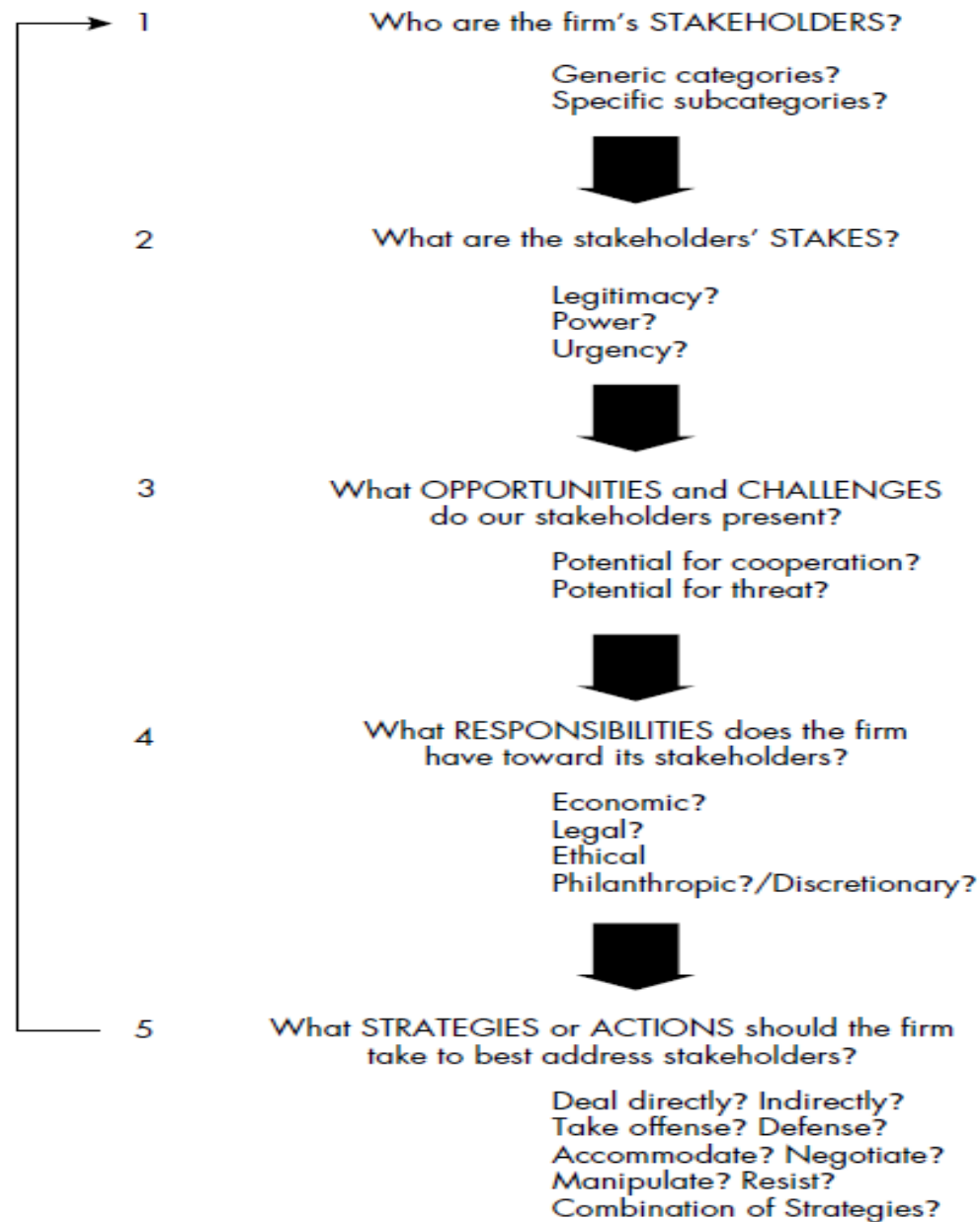
❖ **What *opportunities and challenges* do stakeholders present?**

- Opportunities are to build good productive working relationships with the stakeholders
- Challenges are representative of how the firm handles the stakeholders

❖ **What responsibilities does our firm have to its stakeholders?**

FIGURE 3-5

**Stakeholder
Management:
Five Key
Questions**



What Opportunities and Challenges do Stakeholders Present?

Opportunities

- **Build productive working relationships with stakeholders**
- **The potential for cooperation**

Challenges

- **Representative of how the firm handles its stakeholders**
- **The potential for threat**

Principles of Stakeholder

PRINCIPLES OF STAKEHOLDER MANAGEMENT—“THE CLARKSON PRINCIPLES”

- PRINCIPLE 1** Managers should acknowledge and actively monitor the concerns of all legitimate stakeholders, and should take their interests appropriately into account in decision making and operations.
- PRINCIPLE 2** Managers should listen to and openly communicate with stakeholders about their respective concerns and contributions, and about the risks that they assume because of their involvement with the corporation.
- PRINCIPLE 3** Managers should adopt processes and modes of behavior that are sensitive to the concerns and capabilities of each stakeholder constituency.
- PRINCIPLE 4** Managers should recognize the interdependence of efforts and rewards among stakeholders, and should attempt to achieve a fair distribution of the benefits and burdens of corporate activity among them, taking into account their respective risks and vulnerabilities.
- PRINCIPLE 5** Managers should work cooperatively with other entities, both public and private, to insure that risks and harms arising from corporate activities are minimized and, where they cannot be avoided, appropriately compensated.
- PRINCIPLE 6** Managers should avoid altogether activities that might jeopardize inalienable human rights (e.g., the right to life) or give rise to risks which, if clearly understood, would be patently unacceptable to relevant stakeholders.
- PRINCIPLE 7** Managers should acknowledge the potential conflicts between (a) their own role as corporate stakeholders, and (b) their legal and moral responsibilities for the interests of stakeholders, and should address such conflicts through open communication, appropriate reporting, and incentive systems and, where necessary, third-party review.

A Stakeholder Orientation

- ✦ The degree to which a firm understands and addresses stakeholder demands.

Stakeholder Orientation comprises three sets of activities:

- (1) The organization-wide generation of data about stakeholder groups and assessment of the firm's effects on these groups,
- (2) The distribution of this information throughout the firm, and
- (3) The organization's responsiveness as a whole to this intelligence.

TABLE 2-1 Examples of Stakeholder Issues and Associated Measures of Corporate Impacts

Stakeholder Groups and Issues	Potential Indicators of Corporate Impact on These Issues
Employees	
1. Compensation and benefits	● Ratio of lowest wage to national legal minimum or to local cost of living
2. Training and development	● Changes in average years of training of employees
3. Employee diversity	● Percentages of employees from different genders and races
4. Occupational health and safety	● Standard injury rates and absentee rates
5. Communications with management	● Availability of open-door policies or ombudsmen
Customers	
1. Product safety and quality	● Number of product recalls over time
2. Management of customer complaints	● Number of customer complaints and availability of procedures to answer them
3. Services to disabled customers	● Availability and nature of measures taken to ensure services to disabled customers
Investors	
1. Transparency of shareholder communications	● Availability of procedures to inform shareholders about corporate activities
2. Shareholder rights	● Frequency and type of litigation involving violations of shareholder rights
Suppliers	
1. Encouraging suppliers in developing countries	● Prices offered to suppliers in developed countries in comparison to countries' other suppliers
2. Encouraging minority suppliers	● Percentage of minority suppliers
Community	
1. Public health and safety protection	● Availability of emergency response plan
2. Conservation of energy and materials	● Data on reduction of waste produced and comparison to industry
3. Donations and support of local organizations	● Annual employee time spent in community service
Environmental Groups	
1. Minimizing the use of energy	● Amount of electricity purchased; percentage of "green" electricity
2. Minimizing emissions and waste	● Type, amount, and designation of waste generated
3. Minimizing adverse environmental effects of goods and services	● Percentage of product weight reclaimed after use



The End!!
Thank You!!